

“active asset-allocation strategy”
“We can cap your downside.”
“No one else knows how to do this.”

Getting to Know You

A leading financial-planning newsletter recently canvassed dozens of advisers to get their thoughts on how you should go about interviewing them.⁴ In screening an adviser, your goals should be to:

- determine whether he or she cares about helping clients, or just goes through the motions
- establish whether he or she understands the fundamental principles of investing as they are outlined in this book
- assess whether he or she is sufficiently educated, trained, and experienced to help you.

Here are some of the questions that prominent financial planners recommended any prospective client should ask:

Why are you in this business? What is the mission statement of your firm? Besides your alarm clock, what makes you get up in the morning?

What is your investing philosophy? Do you use stocks or mutual funds? Do you use technical analysis? Do you use market timing? (A “yes” to either of the last two questions is a “no” signal to you.)

Do you focus solely on asset management, or do you also advise on taxes, estate and retirement planning, budgeting and debt management, and insurance? How do your education, experience, and credentials qualify you to give those kinds of financial advice?⁵

What needs do your clients typically have in common? How can you help me achieve my goals? How will you track and report my progress? Do you provide a checklist that I can use to monitor the implementation of any financial plan we develop?

How do you choose investments? What investing approach do you believe is most successful, and what evidence can you show me that you